RECORDING COVER SHEET (Please print or type)
This cover sheet was prepared by the person presenting the instrument for recording. The information on this sheet is a reflection of the attached instrument and was added for the purpose of meeting first page recording requirements in the State of Oregon, and does NOT affect the instrument. ORS 205.234

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After recording return to: ORS 205.234(1)(c)

Robert Sutor
1816 Armadale Avenue
Hood River, OR 97031

1. Title(s) of the transaction(s) ORS 205.234(1)(a)

Third Amendment to the Declaration of Covenants, Conditions and Restrictions
for Armadale Townhomes

2. Direct party(ies) / grantor(s) Name(s) ORS 205.234(1)(b)

Robert and Terrie Goiney; Robert and Martha Sutor
James Pflasterer and Darcy Huston; Charles Howard and Evanne Howard
Jerry Justus; Marjorie Stolhand
Mark Patterson and Elizabeth Joyce

3. Indirect party(ies) / grantee(s) Name(s) ORS 205.234(1)(b)

Armadale Townhomes Owners Association

4. True and actual consideration:
ORS 205.234(1) Amount in dollars or other

$ 0.00

Other: Governance amendment ·
no monetary consideration.

5. Send tax statements to: ORS 205.234(1)(e)

Evanne Howard
1820 Armadale Avenue
Hood River, OR 97031

6. Satisfaction of lien, order, or warrant:
ORS 205.234(1)(f)

☐ FULL ☐ PARTIAL

7. The amount of the monetary obligation imposed by the lien, order, or warrant: ORS 205.234(1)(f)

$ ______

8. Previously recorded document reference: 921430 (1992); 20013894 (2001); 2023-01359 & -01361 (2023)

9. If this instrument is being re-recorded complete the following statement: ORS 205.244(2)

"Rerecorded at the request of ______
to correct ______
previously recorded in book ______ and page ______ , or as fee number ______ ."

THIRD AMENDMENT TO DECLARATION OF COVENANTS, CONDITIONS AND RESTRICTIONS

FOR ARMADALE TOWNHOMES

THIS THIRD AMENDMENT TO THE DECLARATION OF COVENANTS, CONDITIONS AND RESTRICTIONS FOR ARMADALE TOWNHOMES is made on the date hereinafter set forth by the Armadale Townhomes Owners Association, an Oregon non-profit corporation, subject to the Declaration recorded in the deed records of Hood River County Records and Assessments as microfilm no. 921430 on May 12, 1992, the First Amendment to Declaration recorded in the deed records of Hood River County Records and Assessments as microfilm no. 20013894 on September 13, 2001, and the Second Amendment to Declaration recorded in the deed records of Hood River County Records and Assessments as fee nos. 2023-01359 and 2023-01361 on July 3, 2023.

The Association, by and through the requisite vote of its members, amends the Declaration by replacing and restating it in its entirety as follows:

RECITALS

Pursuant to Article XII, Section 3 of the Declaration, the Association desires to amend the Declaration by replacing and restating the Declaration as follows:

Armadale Townhomes is a Class II planned community subject to ORS Ch. 94, as amended, whose adopted bylaws under ORS Ch. 94, as amended, must be and are recorded in the County Records. The Association is the owner of certain property in the City of Hood River, County of Hood River, State of Oregon, according to the duly filed plat of ARMADALE TOWNHOMES, filed June 4, 1991, with the plat adjusted on February 6, 1997, and again on January 25, 2000, in the Records of Hood River County, Oregon.

There are three residential buildings — one building containing three units with Tax Lots 2804, 2805 and 2806, and two buildings each containing two units with Tax Lots 2807, 2809, 2810 and 2812; the units in each building share common walls or party walls. Tax Lot 2801 is for use as the common area ("Common Area"). The Common Area is owned and maintained by the Association for the use and enjoyment of all of the owners.

The Association hereby declares that all of said real property described above shall be held, sold and conveyed subject to the following easements, restrictions, covenants and conditions, which are for the purpose of protecting the value and desirability of, and which shall run with, the real property and be binding on all parties having any right, title or interest in the described properties or any part thereof, their heirs, successors and assigns, and shall inure to the benefit of each owner thereof.

ARTICLE I

DEFINITIONS

Section 1. "Association" means the Armadale Townhomes Owners Association, an Oregon nonprofit corporation.

Section 2. "Owner" means the legal owner or contract purchaser of any tax lot which is a part of the properties, but excluding those having such interest merely as security for the performance of an obligation.

Section 3. "Properties" means that certain real property hereinbefore described.

Section 4. "Common Area" means all real property (including the improvements thereto) owned by the Association for the common use and enjoyment of the owners. The Common Area to be owned by the Association at the time of conveyance of the first unit is described as Tax Lot 2801 of the duly filed plat of ARMADALE TOWNHOMES.

Section 5. "Unit" means one of the seven separate tax lots, designated 2804, 2805, 2806, 2807, 2809, 2810, and 2812, and includes any improvements thereon.

Section 6. "Declaration" means this Declaration of Covenants, Conditions and Restrictions; "Articles of Incorporation" means those articles filed with the Oregon Corporation Commissioner's office for the Association; "Bylaws" means the bylaws adopted by the initial Board of Directors for the Association.

Section 7. "Board of Directors" means the Board of Directors of the Association.

Section 8. "Structure" means one of the three residential buildings comprising the properties, grouped by lot as follows: the Triplex (Lots 2804, 2805 and 2806); Duplex A (Lots 2807 and 2809); and Duplex B (Lots 2810 and 2812). The owners of the units within a Structure are collectively the "owners within that Structure" for purposes of the maintenance, repair, replacement, and cost-sharing provisions of this Declaration.

Section 9. "Standard Unit" (the Original Building Standard) means each Structure as originally designed and constructed in accordance with the developer's original building plans and specifications, excluding any owner improvement, betterment, or modification above that original standard.

ARTICLE II

COMMON AREA

Section 1. Owners' Easements of Enjoyment. Every owner shall have a right and easement of enjoyment in and to the Common Area which shall be appurtenant to and shall pass with the title to every unit, subject to the following provisions:

(a) The right of the Association to adopt reasonable rules and regulations for the use of the Common Area for the intended purpose.

(b) The right of the Association to suspend the right of any owner to use the Common Area for any period during which any assessment against his unit remains unpaid and for a period not to exceed 60 days for any infraction of the Association's rules and regulations; provided, however, that the Association shall not prevent an owner from having access to the owner's unit.

(c) The right of the Association to mortgage or dedicate or transfer all or any part of the Common Area to any public agency or authority or utility for such purposes and subject to such conditions as may be agreed to by the owners; provided, however, that no such mortgage, dedication or transfer shall be effective unless an instrument agreeing to such mortgage, dedication or transfer of the Common Area has been recorded; provided, further, that any encumbrance, dedication, or transfer of the Common Area shall be subject to the owners' easement of use and enjoyment.

Section 2. Delegation of Use. Any owner may delegate his right of enjoyment to the Common Area to the members of his family, his tenants, or his invitees.

Section 3. Maintenance by the Association. The Association shall maintain and repair the Common Area and any improvements thereon at the expense of the Association; provided, however, that in the event the need for repair or maintenance is caused through the willful or negligent acts of an owner, or through the willful or negligent acts of the family, guests or invitees of an owner, the Board of Directors may assess the owner for the cost of such maintenance or repair as a special assessment, which shall be added to and become part of the regular assessment to which the owner's unit and owner are subject.

ARTICLE III

USE OF THE PROPERTIES

Section 1. Use of Units; Leases. All units shall be used for residential purposes only. No owner shall rent or lease his unit for less than 30 days. All rental or lease agreements shall be in writing and shall provide that the terms of the rental or lease agreement shall be subject in all respects to the provisions of the Declaration, Bylaws, and Articles of Incorporation and that any failure by the lessee to comply with the terms of such documents shall be a default under the rental or lease agreement.

Section 2. Rules of Conduct. The following rules and restrictions are in addition to all other restrictions and requirements contained in the Declaration and the Bylaws:

(a) No animals or fowls shall be raised, kept or permitted within the properties, except that the owner of each unit may keep no more than two (2) common household pets, such as dogs or cats, within a unit. No animals of any kind shall be kept, bred or raised for commercial purposes. Those owners keeping pets shall abide by municipal sanitary regulations, leash laws, and rules or regulations promulgated by the Board of Directors. An owner may be required to remove a nuisance animal following written notice from the Board of Directors and an opportunity to cure. Notwithstanding the foregoing, nothing in this Section limits an owner's right to keep a service or assistance animal as a reasonable accommodation required by applicable fair-housing law.

(b) No house trailers, motor homes, pickup campers, mobile homes, boats, motorcycles or like recreational vehicles shall be parked on the properties except within the confines of a garage. Owner vehicles that are for regular use that will not fit in the garage have to be parked on the cement pad in front of the owner's garage. The Common Area and the cement pads in front of the units are not to be used for storage of any type of vehicle. Guests can park the vehicles they arrived in on the lower parking level of the common area but only during the time they are visiting one of the owners.

(c) No owner shall use the Common Area in such a manner so as to hinder the other owners' use and enjoyment of the Common Area.

(d) No commercial activities of any kind shall be carried on in any unit or in any other portion of the properties, except activities relating to the sale or rental of units. This provision, however, shall not be construed so as to prevent or prohibit an owner from maintaining his professional personal library, keeping his personal business or professional records or accounts, handling his personal business or professional telephone calls, or occasionally conferring with business or professional associates in his unit.

(e) Owner maintenance responsibilities. Each owner is responsible for maintaining, repairing, and replacing (i) the interior of that owner's unit — including interior walls and drywall, paint and finishes, flooring, cabinetry and built-ins, and the plumbing, electrical, mechanical/HVAC, water-heater, and appliance systems serving only that unit (including any heating or cooling equipment serving that unit, such as heat pumps or heat exchangers, even where located outside the unit); and (ii) the yard and landscaping within that owner's lot lines, provided that specific landscaping tasks (such as mowing) may instead be performed as a common expense shared by all owners when the owners so agree pursuant to Article V, Section 2(g). Maintenance of each building's exterior structure is addressed in Article VII.

(f) No owner shall place any objects on the deck or patio of the unit other than barbecues, furniture, hot tubs, and similar such items that are commonly placed on decks or patios.

(g) In addition, the Board of Directors from time to time may adopt, modify, or revoke rules and regulations governing the conduct of persons and the operation and use of the properties as it may deem necessary or appropriate in order to assure the peaceful and orderly use and enjoyment of the properties. Such action may be modified by vote of not less than 75 percent of the members voting in person or by proxy at a meeting duly called for this purpose. A copy of the rules and regulations, upon adoption, and a copy of each amendment, modification or revocation thereof, shall be delivered by the Secretary promptly to each owner and shall be binding upon all owners and occupants of all units from the date of delivery.

ARTICLE IV

MEMBERSHIP AND VOTING RIGHTS

Section 1. The Membership. Upon becoming the owner of a unit, the owner shall automatically be a member of the Association and shall remain a member until his ownership ceases for any reason. Membership shall be appurtenant to and may not be separated from ownership of the unit.

Section 2. The Association shall have one class of voting membership.

Class A. Class A members shall be all owners of a unit. Class A members shall be entitled to one vote for each unit owned. When more than one person holds an interest in a unit, all such persons shall be members. The vote for such unit shall be exercised as they determine; in the absence of written protest, any one Co-Owner may exercise the vote on behalf of all co-owners of the unit. In no event shall more than one vote be cast with respect to any one unit.

ARTICLE V

COVENANT FOR ASSESSMENTS

Section 1. Creation of the Lien and Personal Obligation of Assessments. Each owner of a unit, by acceptance of a deed or a contract to convey title therefor, whether or not it shall be so expressed in such deed or contract, is deemed to covenant and agree to pay to the Association: (a) regular assessments or charges, and (b) special assessments, such assessments to be established and collected as hereinafter provided. The regular and special assessments, together with interest, late charges, costs, and attorney's fees, shall be a charge on the land and shall be a continuing lien upon the unit against which each assessment is made. Each such assessment, together with interest, costs, and attorney's fees, shall also be the personal obligation of the person or persons who own such unit at the time the assessment falls due and any successors in title who expressly assume such obligations. No owner may waive liability for an assessment by abandonment of his unit.

Section 2. Purpose of Assessments. The assessments levied by the Association shall be used exclusively to promote the health, safety, and welfare of the owners, to maintain and repair the Common Area, to fund the Association's limited role under Article VII, and to pay the common expenses of the Association. Permanent maintenance, repair, and replacement of the Structures' exteriors is the responsibility of the owners as provided in Article VII, and is not a general common expense funded by Association-wide assessment except to the extent of the Association's limited backstop and emergency role described in that Article. Maintenance responsibility is separate from insurance coverage: the Association's master policy insures each Structure to the original building standard regardless of who performs the maintenance (Bylaws Article XII), while the owners' maintenance obligations are allocated as set out above and in Article VII. Common expenses shall include:

(a) Expenses of administration.

(b) Expenses of maintenance and repair of the Common Area.

(c) Cost of the Association's master-policy insurance premiums and bonds as provided in the Bylaws (a common expense). The owners' responsibility for the master-policy deductible, and each owner's own upgrade/betterment insurance, are not common expenses and are borne by the owners individually (ORS 94.685).

(d) Costs of funding any reserves the Association elects to maintain, as provided in this Article; provided, however, that reserves are not required for a Class II planned community under ORS 94.570(2).

(e) Any deficit in common expenses for any prior period.

(f) Any other items properly chargeable as an expense of the Association.

(g) Any other items agreed upon as common expenses by owners.

Section 3. Regular Assessment. A regular assessment shall be levied each year in an amount estimated to pay all of the common expenses of the Association during the coming year or fiscal period. The budget and estimated assessment shall be determined by the Board of Directors. Account shall be taken of any expected income and any surplus available from the prior year's operations. If the sums budgeted and assessed prove inadequate for any reason (including an owner's failure to pay assessments for any reason), the Board of Directors may at any time levy a further assessment. The regular assessment may be made payable on a monthly, quarterly, or annual basis.

Section 4. Special Assessments for Capital Improvements. In addition to the regular assessments authorized above, the Association may levy, in any assessment year, a special assessment applicable to that year only for the purpose of defraying, in whole or in part, the cost of any construction, reconstruction, repair or replacement of a capital improvement upon the properties, provided that any such assessment shall have the assent of at least 75 percent of the members voting in person or by proxy at a meeting duly called for this purpose. The special assessment may be made payable on a monthly, quarterly, or annual basis.

Section 5. Rate of Assessment. Except as otherwise provided in this Declaration, both regular and special assessments shall be fixed at a uniform rate for all buildings. The assessment for units in the buildings with three (3) residential units per building shall be fixed at one third (1/3) of the rate of assessment for the building. The assessment for units in the buildings with two (2) residential units per building shall be fixed at one half (1/2) of the rate of assessment for the building.

Section 6. Allocation of Common Profits. Any common profits or surplus remaining after the common expenses for a fiscal year are paid shall be applied to the common expenses of the following year and retained by the Association for common purposes. No owner is entitled to any payment, distribution, or refund. (ORS 94.580(2)(i).)

Section 7. Subordination of the Lien to Mortgages. The lien of the assessments provided for herein shall be subordinate to the lien of any first mortgage which was recorded before the assessment became due. The sale or transfer of any unit shall not affect the assessment lien. However, the sale or transfer of any unit pursuant to the foreclosure of a first mortgage with priority over the lien shall extinguish the lien of such assessments as to payments which became due prior to such sale or transfer, and such unpaid expenses or assessments shall be deemed a common expense of the Association. No sale or transfer shall relieve such unit from liability for any assessments thereafter becoming due or from the lien thereof.

Junior lienholders or purchasers who acquire title to a unit as a result of foreclosure of such junior lien shall take title subject to the lien of any unpaid assessments.

In a voluntary conveyance of a unit, the grantee shall take title subject to the lien of any unpaid assessments.

ARTICLE VI

COLLECTION OF ASSESSMENT; ENFORCEMENT

Section 1. Compliance With Declaration, Bylaws, Rules and Regulations. Each owner shall comply with the Declaration, Bylaws, and rules and regulations adopted pursuant thereto.

Section 2. Authority to Enforce and Collect. The Board of Directors shall take prompt action against any violator to enforce the provisions of the Declaration, Bylaws, and rules and regulations adopted pursuant thereto, including prompt action to collect any unpaid assessment. In doing so, the Board may exercise one or more of the remedies, separately or concurrently, specified in the Declaration or Bylaws, as well as any other remedies which may be available at law. In addition, any aggrieved owner may bring an action by appropriate legal proceedings to recover damages or to enjoin, abate, or remedy any noncompliance or breach.

Section 3. Abatement and Enjoining of Violations. In the event an owner violates provisions of the Declaration, Bylaws, or any rules or regulations adopted pursuant thereto, the Board of Directors shall have the right to:

(a) Enter the Common Area or the lot in which or as to which such violation exists and summarily abate and remove, at the expense of the defaulting owner, any thing or condition that may exist therein contrary to the intent and meaning of the provisions hereof, and the Board shall not thereby be deemed in any manner guilty of trespass; provided, that the Board may not use this provision to abate or remove new construction; or

(b) Enjoin, abate, or remedy such thing or condition, including removal or alteration of construction, by appropriate legal proceedings.

Section 4. Interest; Late Charges; Fines. Interest shall accrue on any assessment or portion thereof not paid when due at a rate set by the Board from time to time, not to exceed the maximum rate permitted by Oregon law, until paid. The Board of Directors may, if it deems appropriate, impose charges for late payments of assessments and, after giving notice and an opportunity to be heard, levy reasonable fines against the owner for violations of the Declaration, Bylaws, and rules and regulations adopted pursuant thereto.

Section 5. Acceleration of Assessment. In the event that an owner fails to pay any installment of an assessment when it is due, the Board may, after ten days' written notice, declare the entire amount of the unpaid annual or fiscal period assessment immediately due and payable, and interest thereon shall accrue on the entire assessment at a rate set by the Board from time to time, not to exceed the maximum rate permitted by Oregon law, until paid.

Section 6. Recordation and Duration of Lien; Foreclosure of Lien Against Unit; Appointment of Receiver; Power to Bid at Foreclosure Sale. In addition to regular and special assessments unpaid pursuant to this Article, the Association may enforce its collection by foreclosure of the assessment lien on the unit in the manner provided for the foreclosure of mortgages. Within thirty days after the date on which any unpaid assessment was first delinquent, the Association may make and record a notice of claim of lien. The claim shall be signed and verified by an officer or agent of the Association and shall contain at least the following information: the name of the unit owner, if known to the Association, or, if not known, a statement that the name is unknown; the description of the unit; the amount of the unpaid assessment; the date when due; the amount remaining unpaid; and a statement that the claim of lien is made by the Association pursuant to this Declaration. The recording of a notice of claim of lien shall not constitute the exclusive means of perfecting and enforcing liens, and recordation of a claim shall in no way affect any foreclosure or other enforcement of a lien provided for in this Declaration. Such recordation shall not be required as a prerequisite or condition to bringing any action to recover a money judgment for unpaid assessments, nor shall the absence of any such recordation impair or otherwise affect a defendant owner's right to assert, as an offset or counterclaim, the failure of the Association to comply with this section.

The proceeding to foreclose the lien shall conform as nearly as possible to the proceedings to foreclose liens created by ORS 87.010, except that, notwithstanding ORS 87.055, a lien may be continued in force for a period of time not to exceed six (6) years from the date the lien is filed. If any subsequent unpaid assessment remains unpaid six (6) years from the date the claim was filed, the Association may bring an action to enforce the lien and proceed to foreclosure as in the case of any other mortgage and lien; the owner shall be liable for the costs of the Association, including reasonable rental for the unit. The plaintiff in such foreclosure suit shall be entitled to the appointment of a receiver to collect the rent. The Board of Directors, acting on behalf of the

Association, shall have the power to bid on the unit at the foreclosure sale, and to acquire and hold, lease, mortgage and convey the same, on behalf of the Association.

Section 7. Action to Obtain and Recover a Money Judgment. The Board of Directors may bring an action to obtain a money judgment against an owner for damages for the owner's breach or noncompliance with the provisions of the Declaration, Bylaws, or rules and regulations adopted pursuant thereto.

Section 8. Collection Costs; Attorneys' Fees. Owners who fail to pay assessments when due shall be obligated to pay actual fees and costs including, but not limited to, attorneys' fees incurred in connection with the Board of Directors' efforts to collect the delinquent or unpaid assessments, whether or not suit is commenced. In the event the Board of Directors commences suit or action for the collection of any amounts due or for action to enforce the provisions of the Declaration, Bylaws, or rules and regulations adopted pursuant thereto, the defendant owner or owners, jointly and severally, will be liable for the costs of such suit or action, including reasonable attorneys' fees to be fixed by the court or courts, both at trial and on appeal, in addition to all other sums or obligations.

Section 9. Professional Management. The Board of Directors may employ a professional manager to manage the affairs of the Association, or the Association may self-manage its affairs. Any agreement for professional management shall be consistent with the Bylaws.

ARTICLE VII

EXTERIOR MAINTENANCE

Section 1. Owner Responsibility for Structure Exterior. The owners within each Structure are collectively responsible for the maintenance, repair, and replacement of that Structure's exterior envelope to the original building standard (the Standard Unit), including but not limited to the roof, siding, exterior paint, original exterior windows and doors, and structural components. The Association's master policy separately insures this Structure exterior to the original building standard; maintaining the exterior and insuring it are distinct responsibilities (see Bylaws Article XII).

Section 2. Sharing of Exterior Cost Within a Structure. The owners within a Structure share the cost of the maintenance, repair, and replacement described in Section 1 equally: each unit in the Triplex bears one-third (1/3), and each unit in a Duplex bears one-half (1/2), of that Structure's exterior cost.

Section 3. Improvements and Betterments. Any exterior improvement, betterment, or modification above the original building plan — including but not limited to an enclosed deck and the associated changes to siding, windows, or roofline — is the sole responsibility of the owner who owns or made it, for both maintenance and insurance.

Section 4. Interior. The interior of each unit is that owner's responsibility, as provided in Article III, Section 2.

Section 5. Association Role.

(a) The Association maintains the Common Area as provided in Article II, Section 3.

(b) In the event of an emergency repair needed to the exterior portion of a Structure, the Board of Directors may make temporary repairs to avoid further damage until the responsible owner or owners can make permanent repairs, and may assess the responsible owner or owners for the cost of such repair as a special assessment, which shall be added to and become part of the regular assessment to which such unit and owner are subject.

(c) Backstop. If the owners within a Structure fail to perform the maintenance, repair, or replacement required under this Article, the Association may, after notice and an opportunity to be heard, perform the work and assess the cost exclusively against that Structure's owners (as permitted by ORS 94.704(6)), as a special assessment with lien rights, allocated among those owners on the cost-sharing basis set forth in Section 2.

ARTICLE VIII

PARTY WALLS

Section 1. General Rules of Law to Apply. Each wall which is built as a part of the original construction of the residences upon the properties and placed on the dividing line between the lots shall constitute a party wall and, to the extent not inconsistent with the provisions of this Declaration or the Bylaws, the general rules of law regarding party walls and liability for property damage due to negligence or willful acts or omissions shall apply thereto.

Section 2. Sharing of Repair and Maintenance. The cost of reasonable repair and maintenance of a party wall shall be shared by the adjoining owners who make use of the wall, consistent with Article VII.

ARTICLE IX

EXTERNAL ARCHITECTURAL CONTROL

Without prior written approval from the Board of Directors, no owner shall:

(a) Erect or construct any fence, wall or other structure or improvement on his lot; or

(b) Add to or alter the landscaping of the yard of his lot or place any objects in the yard; or

(c) Install television antennas, air conditioning or heating machines or units, exterior window guards, awnings or shades, exterior lights or noise making devices, exterior posters or signs (other than signs for sale or lease of unit), or any other similar item; or

(d) Otherwise modify or change the exterior appearance of his unit.

In seeking the approval of the Board of Directors, the owner shall submit a written statement of the proposed structure, alteration, device, or modification, together with plans and specifications, if applicable, showing the dimensions, materials, and location of the same.

The Board of Directors shall review and consider the proposal on the basis of its potential harmony with the existing appearance of the properties, its effect on the attractiveness of the properties, and its potential effect on the other owners. The Board may, from time to time, adopt a conditionally approved list setting forth specific types of fences, shrubs or other items that are conditionally approved for all owners. If an owner submits a proposal from the conditionally approved list, it shall be deemed approved within two weeks of its submission unless the Board otherwise notifies the owner in writing to the contrary.

Notwithstanding the foregoing, nothing in this Article prohibits or unreasonably delays the installation, maintenance, or use of an antenna or a satellite dish one meter or less in diameter protected under 47 C.F.R. 1.4000 within an owner's exclusive-use area; architectural review of other items is unaffected.

ARTICLE X

MORTGAGES

Section 1. Definitions. As used in this Article, "Mortgage" means a recorded mortgage or trust deed creating a lien against a unit, and "mortgagee" means the holder of a Mortgage.

Section 2. Owner Responsibility for Mortgagee Consents and Notices. Each owner is responsible for obtaining any consent and giving any notice that the owner's own mortgagee requires under that owner's loan. The Association is not obligated to obtain mortgagee consent, or to provide notices to any mortgagee, beyond what ORS Ch. 94, as amended, requires of the Association.

Section 3. Subordination of Assessment Lien. The lien of assessments is subordinate to the lien of a first Mortgage as provided in Article V, Section 7.

Section 4. Consent to Termination of the Association. Except with respect to termination of the Association as a result of destruction, damage, or condemnation of the properties, any termination of the Association shall require such mortgagee approval as is required by ORS Ch. 94, as amended (currently the approval of eligible mortgage holders representing at least 67 percent of the votes of units that are subject to mortgages held by eligible mortgage holders), in addition to the owner approval required under Article XII, Section 4 and such other approvals and procedures as may be required by the Declaration or Bylaws.

Section 5. Right to Receive Written Notice of Meetings. A holder of a first Mortgage shall, upon written request to the Association, be entitled to receive notice of all meetings of the Association and shall be entitled to designate a representative to attend all such meetings.

ARTICLE XI

RIGHT OF ENTRY, EASEMENTS, ENCROACHMENTS

Section 1. Emergency Entry. In case of an emergency originating in or threatening his unit or other portions of the properties, an owner hereby grants the right of entry to any person authorized by the Board of Directors, whether or not the owner is present at the time.

Section 2. Easements. Each owner hereby grants an easement to the Association in and through their unit and to the exterior of the improvements thereon for the purpose of exercising the rights or fulfilling the obligations of the Association as set forth in this Declaration or the Bylaws.

Section 3. Encroachments. Each unit shall have an easement over all adjoining units for the purpose of accommodating any present or future encroachments as a result of engineering errors, construction, reconstruction, repairs, settlement, shifting, or movement of any portion of the property, or any other similar cause, and any encroachment due to building overhang or projection. There shall be easements for the maintenance of the encroaching units so long as the encroachments shall exist, and the rights and obligations of owners shall not be altered by the encroachment, nor shall the encroachment be considered to be an encumbrance affecting the marketability of title to a unit.

Section 4. Utility Easements. There is hereby created a blanket easement upon, across, over, and under the entire land for the benefit of ingress, egress, installation, replacement, repair and maintenance of all utility and service lines and systems including, but not limited to, water, sewer, gas, telephone, electricity, television, cable or communication lines or systems. By virtue of this easement, it shall be expressly permissible for the Board of Directors or its providing utility or service company to install and maintain facilities and equipment upon the properties, to excavate for such purposes, and to affix and maintain wires, circuits and conduits on, in and under the roofs and exterior walls of any portion of the properties, all at the direction of the Board of Directors.

ARTICLE XII

GENERAL PROVISIONS

Section 1. Waiver. Failure by the Association or by any owner to enforce any covenant or restriction contained herein shall in no event be deemed a waiver of the right to do so thereafter.

Section 2. Severability. Invalidation of any one of these covenants or restrictions by judgment or court order shall in no wise affect any other provisions, which shall remain in full force and effect.

Section 3. Amendment. The covenants and restrictions of this Declaration shall run with and bind the land for a term of 20 years from the date this Declaration is recorded, after which time they shall be automatically extended for successive periods of 10 years unless the owners of the units agree to terminate the Association as provided herein. This Declaration may be amended by an instrument signed by at least 75 percent of the members. Notwithstanding the foregoing, any amendment that changes the method of determining common-expense liability, the right to common profits, or voting rights requires the unanimous consent of the owners of the affected units (ORS 94.590(1)(b)(B)). Any amendment must be recorded.

Section 4. Termination of Association. Except with respect to termination of the Association as a result of destruction, damage, or condemnation of the properties, any termination of the Association shall require the mortgagee approval, if any, provided in Article X, Section 4, and the assent of not less than 75 percent of the owners.

EXHIBIT A — LEGAL DESCRIPTION

The real property subject to this Declaration is described as follows:

All of Lot 4 and the West 10 feet of Lot 3 and the South 159.31 feet of Lots 5, 6, 7, and 8, all of said premises being in Block 5, OAK CREST, in the City of Hood River, County of Hood River, State of Oregon, together with that portion of vacated Armadale Avenue which inured to Lot 4 and the West 10 feet of Lot 3, Block 5, Oak Crest, by reason of the vacation thereof;

being the land platted as ARMADALE TOWNHOMES ADDITION according to the recorded subdivision plat thereof (Hood River County recording no. 911362), records of Hood River County, Oregon.

CERTIFICATION OF ADOPTION

The undersigned officers of Armadale Townhomes Owners Association certify that the foregoing amendment was duly approved by at least seventy-five percent (75%) of the members, and by the unanimous consent of the owners of affected units where required by ORS 94.590, in accordance with the governing documents and ORS Chapter 94, and is adopted effective on the date of recording.

Armadale Townhomes Owners Association

______________________________ ________________

President (signature) Date

______________________________ ________________

Secretary (signature) Date

OWNER CONSENT AND APPROVAL

The undersigned owners, constituting the requisite percentage of the members of Armadale Townhomes Owners Association, consent to and approve the foregoing amendment.

Unit 1814 — Robert and Terrie Goiney

Print name

Signature

Date

Unit 1816 — Robert and Martha Sutor

Print name

Signature

Date

Unit 1818 — James Pflasterer and Darcy Huston

Print name

Signature

Date

Unit 1820 — Charles Howard and Evanne Howard

Print name

Signature

Date

Unit 1824 — Jerry Justus

Print name

Signature

Date

Unit 1826 — Marjorie Stolhand

Print name

Signature

Date

Unit 1828 — Mark Patterson and Elizabeth Joyce

Print name

Signature

Date

NOTARY ACKNOWLEDGMENTS

A separate acknowledgment is provided for each signing owner; the notary completes the acknowledgment for the owner(s) whose signature is taken.

Unit 1814 — Robert and Terrie Goiney

Notary Seal

STATE OF
________________)
) ss.
County of ______________)

This instrument was acknowledged before me on ________________ by the above-named owner(s).

____

Notary Public for ____________
My commission expires: ______________

Unit 1816 — Robert and Martha Sutor

Notary Seal

STATE OF
________________)
) ss.
County of ______________)

This instrument was acknowledged before me on ________________ by the above-named owner(s).

____

Notary Public for ____________
My commission expires: ______________

Unit 1818 — James Pflasterer and Darcy Huston

Notary Seal

STATE OF
________________)
) ss.
County of ______________)

This instrument was acknowledged before me on ________________ by the above-named owner(s).

____

Notary Public for ____________
My commission expires: ______________

Unit 1820 — Charles Howard and Evanne Howard

Notary Seal

STATE OF
________________)
) ss.
County of ______________)

This instrument was acknowledged before me on ________________ by the above-named owner(s).

____

Notary Public for ____________
My commission expires: ______________

Unit 1824 — Jerry Justus

Unit 1826 — Marjorie Stolhand

STATE OF
________________)
) ss.
County of ______________)

Notary Seal

This instrument was acknowledged before me on ________________ by the above-named owner(s).

____

Notary Public for ____________
My commission expires: ______________

STATE OF
________________)
) ss.
County of ______________)

Notary Seal

This instrument was acknowledged before me on ________________ by the above-named owner(s).

____

Notary Public for ____________
My commission expires: ______________

Unit 1828 — Mark Patterson and Elizabeth Joyce

Notary Seal

STATE OF
________________)
) ss.
County of ______________)

This instrument was acknowledged before me on ________________ by the above-named owner(s).

____

Notary Public for ____________
My commission expires: ______________